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Before the
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-01

Visual Comfort & Co.

v.

COSCO Shipping Lines Co., Ltd.

RESPONDENT'S PROPOSED FINDINGS OF FACT

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Pursuant to 46 C.F.R. 502.214 and the Presiding Officer's Orders of March 8, 2024 and September 5, 2024, Respondent COSCO Shipping Lines Co. Ltd. ("COSCO"), through counsel, hereby submits the following Proposed Findings of Fact ("RPFFs") in support of its Brief in Opposition and states as follows:

I. INTRODUCTION

RPFF1. On February 20, 2024, COSCO filed its Original Verified Answer to Visual Comfort & Co. ("VCC" or "Complainant") Verified Amended Complaint ("Compl."). Verified Answer to the Amended Complaint at 1-24.

RPFF2. [REDACTED]
[REDACTED]
[REDACTED] RX6-7, RX12-13, Complainant's Supplemental Responses to Respondent's First Set of Discovery Requests, May 31, 2024, Interrogatory at 3, 15, and 16.

RPFF3. VCC alleged that, for the period of January 2021 until December 2022 ("the Relevant Period"), COSCO "assessed VCC with detention, and demurrage, and storage charges on hundreds of ...containers" and that "the total demurrage, detention, per diem, and yard storage charges ["Charges"] total more than \$1.219 million." Compl. ¶13.

RPFF4. VCC alleged the Charges were "assessed by COSCO." Compl. ¶20.

RPFF5. VCC alleged the Charges were "paid by VCC." Compl. ¶20

RPFF6. VCC's Chief Operating Officer, Gary Hirschel, verified the Complaint. Compl at 11.

II. THE PARTIES

A. COMPLAINANT VISUAL COMFORT & CO.

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RPFF7. VCC is a large U.S. importer of lighting products. CX367-368 (O'Toole Dep. at 18:19-22; 19:1).

RPFF8. VCC employs approximately 1,300 employees worldwide and has two overseas offices, both located in China. CX17 (Hirschel Dep. at 6:3-5, CX18-19 at 7:17-1).

RPFF9. VCC has two headquarters, one located in Skokie, Illinois, and the other in Houston, Texas. CX358 (O'Toole Dep. at 9:1-6).

RPFF10. The total quantity of cargo imported annually by VCC into the United States increased during the pandemic years, reaching more than 8,000 TEUs in 2022. CX374-375 (O'Toole Dep. at 25:17-22, 26:9-12).

RPFF11. The estimated average value of VCC's cargo per container is over \$50,000. CX501 (O'Toole Dep. at 152:8-11).

RPFF12. Gary Hirschel was VCC's Chief Operating Officer during the Relevant Period. CX12 (Hirschel Dep. at 11:13-18).

RPFF13. As VCC's Director of Logistics and Transportation, Thomas O'Toole was responsible for VCC's U.S. inbound ocean transportation in the Relevant Period. CX357 (O'Toole Dep.) at 8:19-22; CX358 (O'Toole Dep. at 9:18-22).

B. NON-PARTY R.I.M. LOGSITICS, LTD.

RPFF14. { [REDACTED]
[REDACTED]
[REDACTED] RX176-RX191 (VCC000011-VCC000018).

RPFF15. { [REDACTED]
[REDACTED]. } RX184

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(VCC000011).

RPFF16. RIM is a Licensed Customs Broker, filer code JJ8. U.S. Customs and Border Protection (“Customs”), Permitted Customs Broker Listing <https://www.cbp.gov/about/contact/brokers-listing> (last visited November 26, 2024).

RPFF17. VCC used RIM as a “broker who helps [VCC] contract [its] space...” (CX27 (Hirschel Dep. at 6:4-9) and “handles the clearing of containers ...” (CX29, Hirschel Dep. at 8:1-5).

RPFF18. [REDACTED]
[REDACTED] RX23 (COSCO_001864).

RPFF19. RIM also operates an office in Shenzhen, China. (CX66, Hirschel Dep. at 5:2-14).

RPFF20. In 2022, VCC’s total freight spend with RIM “could have” exceeded \$50,000,000. CX464-465 (O’Toole Dep. at 115:22-13).

RPFF21. RIM is not a party to this Proceeding.

C. RESPONDENT COSCO SHIPPING LINES CO. LTD.

RPFF22. Respondent COSCO Shipping Lines Co. Ltd. (“Respondent” or “COSCO”) is a vessel-operating common carrier (“VOCC” or ocean common carrier) as defined by 46 U.S.C. § 40102(7).

RPFF23. COSCO is headquartered at No. 378 Dong Da Ming Road, Shanghai, 200080, People’s Republic of China.

RPFF24. COSCO Shipping Lines (North America) Inc. (“CSLNA”) is COSCO’s agent in the United States with offices located at 100 Lighting Way, Secaucus, NJ 070941.

RPFF25. CSLNA is not an ocean common carrier. Respondent’s Verified Motion to Dismiss,

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January 24, 2024.

RPFF26. As of December 2023, COSCO's vessel operations provided ocean transportation of property between over 144 countries.

RPFF27. Tom Takase is the Vice President for COSCO's North American Operations Center and has held this position since May 2021. CX680 (Takase Dep. at 9:15-22).

RPFF28. Mr. Takase oversees all import operations customer service. CX681 (Takase Dep. at 10:1-9).

RPFF29. Between November 2016 and May 2021, Mr. Takase was the Assistant Vice President for COSCO's North American Operations Center. CX681 (Takase Dep. at 10:13-22, 11:1-2).

III. THE RELEVANT PERIOD: COVID-19 PANDEMIC AND THE CAUSES OF CONGESTION

RPFF30. The Relevant Period (2021-2022) identified in the Complaint occurred concurrently with the COVID-19 pandemic. RX47-RX48 (Hackett Rpt.) at 7-8.

RPFF31. There was a "high demand for cargo during the pandemic" that led to unprecedented levels of imports into the U.S. CX437 (O'Toole Dep.) at 88:15-20.

RPFF32. "The Nation's freight transportation systems were largely overwhelmed by the unprecedented high demand that resulted from COVID-related consumer spending patterns." Testimony of Daniel B. Maffei Chairman Federal Maritime Commission Before the Subcommittee on Coast Guard and Maritime Transportation House Committee on Transportation and Infrastructure (March 23, 2023)(available at . <https://www.fmc.gov/articles/testimony-of-chairman-maffei-before-congress-review-of-fiscal-year-2024-budget-request-for-the-federal-maritime-transportation-programs-and-implementation-of-the-ocean-shipping-reform-act->

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[o/](#)(last accessed December 2, 2024).

RPFF33. In early 2020, the impacts of COVID-19 were to close factories in China, “creating a supply-side shock to the global supply chain.” RX47 (Hackett Rpt.) at 7.

RPFF34. Mr. O’Toole estimated that high demand for cargo began on February 3, 2020 and ended on February 1, 2023. CX438 (O’Toole Dep.) 89:1-6.

RPFF35. “...if there’s more cargo, then there’s more demand to get into the terminal to retrieve that cargo.” CX420 (O’Toole Dep.) at 71:17-19.

RPFF36. “As the virus spread into a global pandemic, the supply-side issues transitioned into demand-side issues as waves of lockdowns and store closures rolled through Europe and North America.. . . The surge in shipping volume coincided with Covid-19 related labor shortages throughout the supply chain. As such, the period in question was marked by record containerized freight volume and unprecedented supply-chain disruptions. The resiliency of the global supply chain was tested and found wanting, with warehouses, vessels, and container terminals all filled to capacity.” RX48 (Hackett Rpt. at 8).

RPFF37. The McCown Report severely underestimates time required to handle a vessel at a container terminal. RX89 (Hackett Rpt. at 49).

RPFF38. Delays at terminals caused ocean carriers to sit at anchor waiting to berth at U.S. ports more than anywhere else in the world in 2021 and 2022; and these delays effectively reduced global container capacity by 11-12% while demand grew by over 7%. RX62-RX63 (Hackett Rpt. at 22-23).

A. UNPRECEDENTED SUPPLY CHAIN DISRUPTIONS

RPFF39. The global supply chain crisis was triggered by an unprecedented global pandemic, and blame for the congestion cannot be assigned to any one actor or sector. RX48 (Hackett Rpt.

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at 8).

RPFF40. The notion that shippers did not contribute to the supply chain issue is of course false, as it was the surge in cargo volume (in response to surging consumer demand) that resulted in record volumes of cargo. RX48 (Hackett Rpt. at 8).

RPFF41. Shippers are no more to blame than the consumers for spending money, but the volume of cargo that shippers were moving was directly related to congestion throughout the supply chain. RX48 (Hackett Rpt. at 8).

RPFF42. The surge in shipping volume coincided with COVID-19 related labor shortages throughout the supply chain. As such, the period in question was marked by record containerized freight volume and unprecedented supply-chain disruptions. The resiliency of the global supply chain was tested and found wanting, with warehouses, vessels, and container terminals all filled to capacity. RX48 (Hackett Rpt. at 8).

RPFF43. COVID-19 illness did not spare longshoremen. In February, 2021 alone nearly 700 dockworkers at the Port of Los Angeles were absent due to illness; 1,500 dockworkers tested positive for COVID-19 in California. RX61 (Hackett Rpt. at 21).

RPFF44. A push to have ports operate around the clock was limited by the reality that no other part of the U.S. supply chain could keep up. RX60 (Hackett Rpt. at 20).

RPFF45. When the Port of Los Angeles, for example, offered expanded night and weekend gate hours for trucks in September 2021, only 30% of appointments offered between 6pm and 3am were filled. RX64 (Hackett Rpt. at 24).

RPFF46. At the same time, there was also a lack of warehouse space, that trains were running at full capacity, and there was a nationwide shortage of about 60,000 truck drivers across the

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U.S. even before the pandemic. RX61-RX62 (Hackett Rpt. at 21-22).

RPFF47. The increased import volume seen at ports and terminals during the pandemic/supply chain crisis was not due solely to COSCO, since many, if not all, of the ocean carriers would have seen their vessel use surge during the supply chain crisis. RX86 (Hackett Rpt. at 46).

RPFF48. The increased volume that each container terminal was handling during the period in question was not just because the vessels that had been calling prior to the pandemic were full, but also because carriers were establishing new (additional) services to accommodate the surge in cargo volume. RX86-RX87 (Hackett Rpt. at 46-47).

RPFF49. Terminal delays were the result of many factors, including the surge in import containers combined with the domestic supply chain difficulties including a shortage of truck chassis, a shortage of truck drivers, a shortage of warehouse space, and a shortage of warehouse workers. RX90-RX91 (Hackett Rpt. at 50-51).

**B. DEMMAND AND SHIPPER BEHAVIOR CONTRIBUTED TO
TERMINAL CONGESTION**

RPFF50. VCC's origin office in China controlled where (i.e., to which U.S. port) any shipment would arrive. CX438-440 (O'Toole Dep. at 89:22; 90:1-9; 91:4-7).

RPFF51. VCC's origin office in China did not consider whether a particular port in the U.S. was congested when it instructed RIM to make bookings. CX441-CX442 (O'Toole Dep. at 92:16-93:3).

RPFF52. VCC's Director of Logistics, Mr. O'Toole, stated that if ports were full or overflowing, VCC expected COSCO to "find other solutions for us." CX440 (O'Toole Dep. at 91:15-21).

RPFF53. However, VCC's Mr. O'Toole stated that he would not have expected an ocean

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carrier like COSCO to change the destination of VCC's cargo. CX440 (O'Toole Dep. at 91:15-18).

RPFF54. Nor did VCC ever submit a change of destination request to COSCO or request that COSCO use less crowded ports. CX446-448 (O'Toole Dep. at 97:18-22; 98:21-99:2).

RPFF55. Mr. O'Toole acknowledged that ocean carriers are not in the business of carrying cargo to ports disfavored by their customers. CX447 (O'Toole Dep. at 98:9-16).

i. VCC USED CHARTERED VESSELS

RPFF56. Chartered vessels are specifically requested by cargo owners, meaning they do not sail on regular schedules. CX509 (O'Toole Dep. at 160:2-4, 160:11-14).

RPFF57. Despite the fact that Mr. O'Toole believed that chartered vessels increase congestion at ports, (CX508-CX509, O'Toole Dep. at 159:18-21), VCC chartered vessels more than once in 2021 and in 2022. CX509-CX510 (O'Toole Dep. at 160:15-22, 161:1-10).

ii. VCC, LIKE OTHER IMPORTERS, USED PORTS FOR STORAGE

RPFF58. During the COVID period (2021-2022), many of COSCO's customers used containers as *de facto* warehouses, sometimes for long periods of time: "a lot of the import containers during this [COVID] period were held out for long periods of times, months, because they were using a container as a warehouse." CX806-808 (Takase Dep. at 135-137).

RPFF59. Many of its customers advised COSCO that they lacked warehouse capacity. CX808-809 (Takase Dep. at 137-138).

RPFF60. { [REDACTED]

[REDACTED]

[REDACTED]

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RX401(VCC0011937); CX492-493 (O'Toole Dep. at 143: 19-22; 144:1-18; 145:1-18).

RPFF61. VCC decided to prioritize and take delivery of “hot containers” over other containers, even if it meant the other VCC containers remained on the terminal past free time and thereby incurred demurrage charges. CX423-424 (O'Toole Dep. at 74:10-22; 75:1-17).

RPFF62.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] RX171 (VCC034038).

RPFF63. VCC's Burlington, NJ warehouse could not accommodate all the loaded containers its drayage provider sought to deliver. CX418 (O'Toole Dep. at 69:12-17).

RPFF64.

[REDACTED]

[REDACTED]

[REDACTED] RX168-RX174 (VCC034035-VCC034041).

RPFF65. In August, 2022, VCC's trucker, Sher-Del, emailed VCC's Mr. O'Toole stating:

[REDACTED]

[REDACTED]

[REDACTED] RX107
(VCC047245).

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RPFF66.

RX109 (VCC034954).

iii. VCC MISMANAGED AND FAILED TO TIMELY PICK UP ITS CARGO

RPFF67. VCC was “always made aware of the last free day within the terminal or port” in which it needed to pick up its loaded container to avoid demurrage charges. CX478-479 (O’Toole Dep. at 129:17-4).

RPFF68.

RIM is one example of an NVO partner that

CX479 (O'Toole Dep. at 130:5-11); RX111-RX136

RPFF69. VCC was “absolutely notified or had line of sight to last free days based on reports from RIM” relating to containers that remained at the port terminal which was true for all of the shipments in question in this case. CX131 (O’Toole Dep. at 131:3-18).

RPFF70.

RX111-RX136 (VCC010747-VCC010772).

RPFF71. VCC's Mr. Hirschel stated that VCC would have asked RIM to extend free time.
CX77 (Hirschel Dep. at 6:15-17).

RPFF72. VCC's Mr. Hirschel did not know whether RIM ever asked COSCO to extend free time. CX77 (Hirschel Dep. at 6:22-2)

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RPFF73. No ocean carrier, including COSCO, ever prevented VCC from picking up a loaded VCC container, nor did any ocean carrier ever prevent VCC, its NVOCC partners, or truckers from picking up a loaded container. CX485 (O'Toole Dep. at 136:15-22).

RPFF74. VCC never communicated directly with COSCO with respect to the pickup of a VCC container. CX488 (O'Toole Dep. at 139:14-19).

RPFF75. VCC never communicated directly with any of the terminals that handled VCC's shipments in this matter with respect to the pickup of a VCC container. CX488 (O'Toole Dep. at 139:14-19).

RPFF76. A "hot" container is a container with VCC cargo that was oversold, such as products with orders in VCC's system waiting to be fulfilled. CX423 (O'Toole Dep. at 74:3-9).

RPFF77. From time to time, VCC decided to prioritize the delivery of "hot" containers over other loaded containers, purposefully leaving the non-prioritized containers at the terminal, even if it meant other containers incurred demurrage at the marine terminal. CX423 (O'Toole Dep. at 74:10-13); CX423 (O'Toole Dep. at 74:15-22).

RPFF78. [REDACTED] CX418 (O'Toole Dep. at 69:12-17); RX107 (VCC47245).

RPFF79. { [REDACTED]
[REDACTED] RX138-RX142 (VCC 000006-VCC 0000010).

RPFF80. { [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED] RX144-
RX145 (VCC013420-VCC013421).

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iv. VCC AND RIM HAD TRUCKING PROBLEMS

RPFF81. VCC instructed RIM (as it did with its other NVOCCs) “to notify Sher-Del [for Burlington, NJ] and Knight [for Las Vegas, NV] for the availability of containers.” CX409 (O’Toole Dep. at 60:18-19).

RPFF82. “The scheduling of deliveries [was] coordinated between [VCC’s] distribution center and the drayage provider.” CX409-CX410 (O’Toole Dep. at 61:15-20; 62).

RPFF83. { [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED] RX147 (VCC034063); CX506-507 (O’Toole Dep. at 157:15-22, 158:1-9).

RPFF84. S Group China Logistics Co., Ltd., (“S Group”) was a China-based intermediary that assisted VCC in securing space aboard vessels. CX476 (O’Toole Dep. at 127:2-4); CX478 (O’Toole Depo. at 129:3-9).

RPFF85. S Group provided weekly reports to VCC and RIM that detailed certain containers that were “out-gated” (i.e., had not been returned) for a long time past free time. CX477 (O’Toole Dep. at 128:7-16).

RPFF86. { [REDACTED]
[REDACTED] RX111-RX136 (VCC010747-VCC010772).

RPFF87. { [REDACTED]
[REDACTED] CX479 (O’Toole Dep. at 130:1-20); RX111-RX136 (VCC010747-VCC010772).

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RPFF88. VCC kept loaded containers at its Burlington, NJ distribution center yard. CX512 (O'Toole Dep. at 163:17-22).

RPFF89. [REDACTED]
[REDACTED]
[REDACTED] CX1207 (emphasis added); RX65 (Hackett Rpt. at 25).

RPFF90. VCC's trucker Sher-Del also advertised on its emails { [REDACTED]
[REDACTED] RX151 (VCC47508).

RPFF91. In December of 2021, VCC's trucker, Sher-Del, emailed VCC's Mr. O'Toole:
[REDACTED]
[REDACTED] RX149 (VCC015261).

RPFF92. { [REDACTED]
[REDACTED]
[REDACTED] RX164 (VCC034057).

RPFF93. There was confusion between VCC's trucker, Sher-Del, VCC's receiving manager and VCC's Mr. O'Toole as to the receiving of loaded containers from Sher-Del, as Mr. O'Toole stated [REDACTED]
[REDACTED]
RX151 (VCC047508).

C. COSCO DID NOT CREATE OR DESIRE CONGESTION AT U.S. PORTS

RPFF94. The notion that the terminal congestion that impacted VCC was due to a failure on COSCO's part is unreasonable. RX77 (Hackett Rpt. at 37).

RPFF95. "The congestion that impacted North American ports caught everyone by surprise. As

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previously depicted in Exhibit 19 scores of container ships lay at anchor outside U.S. ports awaiting a berth during the global supply chain crisis. Attempts to resolve terminal congestion had little impact: ports extended gate hours to assist with container pick-up and delivery, but other parts of the supply chain remained ‘broken’, including a shortage of chassis, truck drivers, and warehouse workers.” RX77 (Hackett Rpt. at 37).

RPFF96. During the pandemic, COSCO deployed special vessels (“sweeper vessels”) to help alleviate port congestion, pick up empty containers, and specifically to reposition empty containers from ports in the U.S. to China. CX802 (Takase Dep. at 131:9-22).

RPFF97. Had carriers like COSCO further delayed the departures of its vessels from U.S. ports to load additional empty containers (instead of using sweeper vessels)(as Mr. McCown suggested.CX179-180 (McCown Dep. at 76:16-4), there would have been more vessel congestion and carriers’ rotation schedules would be more disrupted. COSCO could not have waited to fully load empty containers, because of severe backlogs of getting to berths, in-land supply chain issues impacting empty container returns, its desire to adhere to pre-determined vessel schedules, and the need to move other carriers’ vessels into the port. RX90-RX91 (Hackett Rpt. at 50-51 and Exhibit 19).

RPFF98. VCC’s Mr. O’Toole agreed with Mr. Hackett’s observation, namely that had ocean carriers been waiting at the port terminals, such action would have slowed the delivery of VCC’s cargo. CX422 (O’Toole Dep.at 73:6-19).

RPFF99. Terminals, not carriers, set a maximum inventory of containers that they can handle. CX823 (Takase Dep at 152:9-18).

RPFF100. Even if COSCO had been in control of terminal operations at destination ports in the United States this would not have resolved the supply chain issues outside of the terminal

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boundary. RX65 (Hackett Rpt. at 25).

RPFF101. The marine terminals, not ocean carriers, establish how many empty containers may be brought in (“in-gated”) at any particular time. CX826 (Takase Dep. at 155:5-12).

RPFF102. Terminals charge ocean carriers like COSCO a daily terminal storage fee for failing to clear empty containers that sit at the port terminal which does not benefit ocean carriers like COSCO. CX823 (Takase Dep. at 152:9-14).

RPFF103. The McCown Report does not present any data to support its assertion that terminal congestion is purely the fault of COSCO. Laying the blame for all terminal congestion at all ports at the feet of COSCO alleging that it failed “to properly manage its terminal operations at the macro level” ignores the fact that ports, carriers, and shippers all doing their best to adapt to an unprecedented global supply chain crisis triggered by a global pandemic.” RX76 (Hackett Rpt. at 36).

RPFF104. As member of a vessel-sharing alliance, cargo contracted to move by COSCO may have been moved on another partner’s vessel. As such, the suggestion by Mr. McCown that the terminal would be operated as if it was “COSCO’s own” terminal is highly implausible. RX88-RX89 (Hackett Rpt. at 48-49).

i. COSCO DID NOT REQUIRE DUAL TRANSACTIONS

RPFF105. A dual transaction (also called a “one-for-one swap” or “double move” or “dual move”) is a requirement imposed by terminals at times requiring “the same trucker to perform two transactions instead of a single” that is, entering the terminal gate once to drop off an empty container and pick up a loaded container, or vice versa. Terminals impose these requirements to alleviate truck congestion and thereby help improve or maintain fluidity of the terminal gate, as instead of two trucks waiting in the trucking line to get into the terminal, a single truck can do the

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two operations. CX750-751 (Takase Dep. at 79:3-22); CX80 (O'Toole Dep. at 1-9).

RPFF106. COSCO did not initiate, impose, or control “dual transaction” requirements at marine terminals. CX485 (O'Toole Dep. at 136:6-8).

RPFF107. Truckers are notified by the marine terminal operator when it requires dual transactions “either online through their website to the trucking community so that the trucking community is aware, and then this could probably trickle down to the customer themselves.” CX751 (Takase Dep. at 80:11-20).

RPFF108. COSCO did not have any role in determining whether dual transactions are required on a given day. That is “completely determined by the port terminal.” CX751 (Takase Dep. at 80:11-22; 81:1-8).

RPFF109. In cases where the marine terminal operator requires dual transactions, COSCO also attempted to find ultimate locations for receiving empties, such as a nearby depot, that would be appropriate to receive the empties. CX754-755 (Takase Dep. at 83:15-22; 84:1-11).

RPFF110. { [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED] CX756 (Takase Dep. at 85:8-21).

RPFF111. Truckers prefer double moves because they reduce the amount of time spent waiting at a terminal to load or unload a container or driving between locations, which decreases their efficiency and reduces their ability to earn revenue. RX95 (Hackett Rpt. at 55).

RPFF112. The FMC promoted the use of double moves to increase freight fluidity at congested terminals in 2021. FMC Commissioner Dye remarked at a meeting in November 2021,

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“Achieving double moves for truckers would improve trucker productivity and remove a constant source of conflict over container return as well as resolve problems with appointment systems and chassis shortages.” RX95 (Hackett Rpt. at 55).

RPFF113. On August 11, 2022, VCC’s truckers told VCC that it did not have any problems picking up or returning COSCO containers at Maher Terminals in the Port of New York/New Jersey stating [REDACTED]

[REDACTED] RX153 (VCC008671)

RPFF114. On August 25, 2022, referring to Maher Terminals’ status, VCC’s trucker Sher-Del told VCC that [REDACTED]

[REDACTED] CX1211.

ii. COSCO RESPONDED TO IMPORTERS’ DEMANDS

RPFF115. COSCO was operating “near [100 percent] or high 90 percent” capacity utilization on routes from Asia to North America in 2021 and 2022, meaning that COSCO was taking advantage of full utilization of the container space on board the vessel, whether loaded containers or empty containers. CX789 (Takase Dep. at 118:2-14).

RPFF116. COSCO does not export from the U.S. “anywhere near” what it imports into the U.S., thus, there is a significant need to export empty containers back to the Far East trade for imports coming back to the U.S. CX790-791 (Takase Dep. at 119:20-120:7).

IV. DEMURRAGE, DETENTION, PER DIEM, YARD STORAGE AND THE INCENTIVE PRINCIPLE

RPFF117. “Demurrage” is a charge to a shipper or consignee for use of terminal space. 46 C.F.R. 545.5.

RPFF118. Demurrage charges incentivize the prompt removal of cargo from a terminal. CX185

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(McCown Dep. at 9-12).

RPFF119. Mr. O'Toole stated that a high daily demurrage rate does in fact incentivize VCC to pick up its cargo. CX511 (O'Toole Dep. at 162:8-14).

RPFF120. In order to encourage the timely return of equipment, ocean carriers impose “detention” charges, defined by the Commission as “any charges, including ‘per diem,’ assessed by ocean common carriers ... related to the use of ... shipping containers, not including freight charges.” 46 C.F.R. § 545.5(b). The practice in the shipping industry is that the party responsible for retrieving a loaded container from a port and delivering its cargo to the addressee is allotted a certain number of days to return the empty container and any related equipment before detention charges begin to accrue. The amount of this so-called “free time” is either set forth in the ocean carrier's “tariff” of published terms and conditions for transportation or established by contract. Per diem detention charges provide an incentive for the timely return of equipment and compensate the ocean carrier for the opportunity cost of its late return. Evergreen Shipping Agency (Am.) Corp. v. Fed. Mar. Comm'n, 106 F.4th 1113, 1114–15 (D.C. Cir. 2024).

RPFF121. Detention is a fee for the container usage time. Containers that are not timely returned cannot be used by other shippers. CX790 (Takase Dep. at 119:15-19).

RPFF122. The term “per diem” is used interchangeably with the term “detention.” CX718 (Takase Dep. at 47:8-20); RX78 (Hackett Rpt. at 38).

RPFF123. “Yard storage” is not the same thing as “demurrage” or “detention/per diem.” RX78 (Hackett Rpt. at 38).

RPFF124. VCC's trucker, Sher-Del, defined “Storage Charge” in its agreement with VCC as:

[REDACTED]

[REDACTED]

RX142 (VCC 0000010).

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RPFF125. “Yard storage” charges do not originate with an ocean carrier and should not be classified as either demurrage or detention. RX65 (Hackett Rpt. at 25).

[REDACTED]

[REDACTED] RX142 (VCC 0000010).

RPFF126. [REDACTED]

[REDACTED] CX760 (Takase Dep. at 89:12-18).

RPFF127. Rebuttal Expert Hackett understands that “The FMC noted that ‘the primary purposes of demurrage and detention are to serve as financial incentives to encourage the productive use of assets (containers and terminal space) and promote optimal cargo velocity through marine terminals. As such, the intent of demurrage and detention charges is similar to those of certain taxes: to encourage/discourage a certain behavior. Much like a tax on cigarettes is designed to dissuade people from smoking, demurrage and detention fees are designed to encourage the timely pick-up of a container from a port and the timely return of that same container to the port. The intent is that the container terminal is not used as a temporary storage warehouse for inbound cargo and that boxes can be re-positioned efficiently to where they are needed.” RX63-RX64 (Hackett Rpt. at 23-24).

V. COSCO’s DISPUTE RESOLUTION PRACTICES

RPFF128. COSCO’s published its dispute resolution policies and practices regarding demurrage and detention, and its invoices contained information about points of contact, timeframes, and corroboration requirements. (COSCO SHIPPING Lines North America Demurrage and Detention (per diem) Disputes, Mitigates and Waivers Procedure).
<https://world.lines.coscoshipping.com/na/en/dndp/dnddp/1/1>

RPFF129. COSCO has “policies in place to not bill in . . . circumstances if its not incentivizing

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movement of cargo.” CX811 (Takase Dep. at 140:3-13).

RPFF130. If a customer advised COSCO about the inability to pick up a loaded container that was still in free time, COSCO would take the circumstances into account for any kind of mitigation. CX810 (Takase Dep. at 139:1-9).

RPFF131. In order to dispute a detention or demurrage charge, COSCO asks customers to submit valid supporting documents supporting their argument that prevented them from returning an empty container or picking up a loaded container. CX766-767 (Takase Dep. at 95:13-96:3).

RPFF132. Such documents could include a screen shot of the terminal’s online platform showing no appointments or gate closures, or an email between the trucker and the terminal showing problems. CX767 (Takase Dep. at 96:18-22).

RPFF133. COSCO is “open to review any scenario” where a dispute is submitted detailing a trucker’s inability to return an empty container or to pick up a loaded container. CX767 (Takase Dep. at 96:4-17).

RPFF134. COSCO may consider “significant congestion” in the terminal as a valid dispute reason, but a dispute must be submitted in order for COSCO to consider the circumstances. CX768 (Takase Dep. at 97:2-14).

RPFF135. If a customer disputes a detention charge with COSCO alleging an inability to return an empty container, COSCO evaluates whether a valid reason exists for the inability to return the container, for example, a terminal gate closure, or the unavailability of an alternate receiving location. CX810 (Takase Dep. at 139:10-16).

RPFF136. COSCO has automated policies in place to not bill for detention or demurrage in situations where the fluidity of cargo would not be facilitated. CX811 (Takase Dep. at 140:3-13).

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- RPFF137.** COSCO has policies in place for “approving mitigation of certain scenarios” to not bill customers if there existed no incentive to the movement of cargo. CX811-812 (Takase Dep. at 140:3-22, 141:1-7).
- RPFF138.** COSCO’s practice is to waive, mitigate, and refund demurrage and detention charges when justified. CX811 (Takase Dep. at 140:3-22); CX812 (Takase Dep. at 141:1-7).
- RPFF139.** Significant amounts of demurrage and detention bills have been waived in the Relevant Period, as demonstrated by the FMC’s Demurrage and Detention Indices (Q2 2020-Q42023), which show the collective rate of such fees billed, collected, and waived by the nine largest ocean carriers (including COSCO). RX69 (Hackett Rpt. at 29).
- RPFF140.** COSCO has policies for approving mitigation for certain scenarios including instances where customers made COSCO aware of gate closures whereby COSCO would take the action of not billing [*i.e.*, extending free time or waiving daily charges] for such days. CX812 (Takase Dep. at 141:4-7).
- RPFF141.** If an internal COSCO error or operational error occurs, COSCO adjusts or extends detention or demurrage free time. CX814 (Takase Dep. at 143:2-6). COSCO has a policy to “adjust the demurrage or detention accordingly” by “credit[ing] the customer that day or extend the free time a day to compensate for the error” such as if a clerk delayed a cargo release. CX728-729 (Takase Dep. at 57:5-22; 58:1-9).
- RPFF142.** COSCO prefers to have the equipment (the empty shipping container) returned to the terminal rather than charge detention, and COSCO constantly pushes customers to return the empty container timely. CX809 (Takase Dep. at 138:1-15).
- RPFF143.** COSCO takes “proactive measurements to extend the free time” when there is a widespread error or a delay on COSCO’s end of which COSCO is aware. CX730 (Takase Dep.

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at 59:2-12).

RPFF144. Although COSCO takes “proactive measurements to extend the free time” if it’s determined that COSCO was the party at fault, a customer may also request additional free time through the COSCO portal “if they feel that they shouldn’t be responsible for a particular day of storage due to an alleged COSCO error.” CX729 (Takase Dep. at 59:2-12; 58:10-22).

RPFF145. A trucker or a consignee may obtain a waiver, credit, or refund of demurrage or detention charges from COSCO for a particular day simply by providing screen shots (or other corroboration) showing that the relevant facility(ies) were not available – including by reason of closure, lack of appointments and/or dual move requirements, without even asserting that it actually tried to pick up or return the container on that day. CX767-CX769 (Takase Dep. at 96:4-98:14).

RPFF146. Invoices issued by COSCO during the Relevant Period had dispute contact information printed thereon. CX913 (COSCO_0000013).

RPFF147. Depending on the scenario, COSCO can resolve some disputes, such as detention or demurrage disputes, the same day the dispute was filed or it could take several weeks, but COSCO makes every effort to resolve all disputes within 30-days. CX770 (Takase Dep. at 99:18-100:4).

RPFF148. The FMC Interpretive Rule takes into account whether dispute resolution processes exist as a factor in determining reasonableness. 46 C.F.R. 545.5(d).

RPFF149. COSCO is “open to review any scenario” regarding a refund of demurrage or detention fees. However, both VCC and RIM failed to submit any disputes whatsoever for any of the shipments at issue in this litigation. CX767 (Takase Dep. at 96:4-17).

VI. DEMURRAGE AND DETENTION: COSCO’S PRACTICES

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RPFF150. Throughout the Relevant Period, COSCO's demurrage and detention practices and regulations were published in its publicly accessible tariff rules. US Import Demurrage at USA Tariff Rule and US Import Detention at USA Tariff Rule. (<https://world.lines.coscoshipping.com/na/en/dndp/dndtr/1/5>).

RPFF151. COSCO considers the FMC's Incentive Principle when determining whether to charge detention or demurrage. CX806-807 (Takase Dep. at 135:18-136:3).

RPFF152. COSCO understands that the FMC's Incentive Principle serves to "incentivize either the return of the equipment or picking up a load from the terminals . . . You should incentivize the cargo owner to pick up the cargo to avoid those charges and maintain cargo fluidity . . . the goal is to operate within that free time range to avoid these costs [demurrage and detention], which would incentivize the cargo to be moving as freely as possible." CX805-806 (Takase Dep. at 134:17-135:5).

RPFF153. COSCO's rates for demurrage and detention were among the lowest of its peers globally and in North America. RX77 (Hackett Rpt. at 37).

RPFF154. When an empty container is not returned on time, COSCO loses the opportunity to give that empty container to another shipper in the U.S. or overseas. CX791 (Takase Dep. at 120:4-13).

A. DEMURRAGE

RPFF155. COSCO agrees with the FMC's Incentive Principle, noting that without the consequence of potential demurrage charges, "the customers would end up leaving their containers on the terminal indefinitely and use it as storage." CX807 (Takase Dep. at 136:11-14).

RPFF156. COSCO charges demurrage and detention fees for no other reason than to

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incentivize the fluidity of cargo. CX810-811 (Takase Dep. at 139:17-20; 139:21-140:2).

RPFF157. VCC's Mr. O'Toole agreed that a high daily demurrage charge affirmatively incentivized VCC to timely pick up its cargo. CX511 (O'Toole Dep. at 162:8-14).

RPFF158. Customers are not "naturally incentivized" to move their own cargo because during the COVID period in 2021 and 2022, warehouses often reached capacity preventing a customer from accepting additional containers. Customers would "leave the containers on the terminals as long as they possibly could . . . and maxed out their [demurrage] free time for sure." CX807-808 (Takase Dep. at 136:16-7).

RPFF159. If it was cheaper for customers to pay the demurrage rates at the terminal than to find a source to warehouse the cargo, customers would leave the containers at the terminal for as long as they possibly could. CX808 (Takase Dep. at 137:8-16).

RPFF160. Importers expected to have to pay if they are late picking up cargo, as VCC's Mr. O'Toole stated he believed it to be a "reasonable expectation" that VCC would incur demurrage charges for VCC loaded containers that remained at the port for more than its allotted demurrage free time. CX510 (O'Toole Dep. at 161:11-17).

RPFF161. When a loaded imported container is not picked up within free time, COSCO issues an invoice for demurrage at rates set forth in its tariff. CX760 (Takase Dep. at 89:1-4).

RPFF162. If a container is not available to be picked up (for example, because it is buried in a container stack at the terminal port), the container availability status in the terminal's system will typically indicate that it is not available to be picked up and as such, no charges will apply. CX768 (Takase Dep. at 97:15-98:14).

B. CUSTOMS HOLDS

RPFF163. When foreign cargo is brought through a U.S. seaport, the clearance and release of the

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Customs must be obtained on behalf of the importer, by a licensed Customs Broker. RIM was responsible for obtaining Customs' releases for VCC's cargo. CX446 (O'Toole Dep. at 97:12-16).

RPFF164. { [REDACTED]
[REDACTED]
[REDACTED] CX445-446 (O'Toole Dep. at 97). RX155 (VCC031164); RX156 (VCC006443).

RPFF165. VCC knew that Customs' holds on VCC cargo would delay the release of the cargo. CX446 (O'Toole Dep. at 97:1-5).

RPFF166. VCC's Expert asserts that there are clearly times when delays in removing cargo is clearly attributable to the importer, such as examination and inspection holds. CX 201 (McCown Dep. at 9-19).

RPFF167. COSCO has no control of when Customs orders the inspection of an inbound loaded container. CX773 (Takase Dep. at 102:11-22).

RPFF168. RIM was responsible for obtaining Customs' releases for all of the Relevant Shipments. CX446 (O'Toole Dep. at 97: 12-16).

RPFF169. RIM asked COSCO for information and assistance on Customs' holds. CX1192-CX1193; CX1196.

C. DETENTION

RPFF170. COSCO's preference is to have the empty container returned, rather than collect the revenue derived from the detention charges. CX808 (Takase Dep.) at 137:19-22; 138:1-8.

RPFF171. { [REDACTED]
[REDACTED] *See, e.g.,* RX23-RX35

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(COSCO_001864 – COSCO_001892).

RPFF172. Because the length of time containers have been in use by importers/consignees is undeterminable until after the container has been returned empty, COSCO can only calculate whether the return is late and issue invoices for detention charges (if any) **after** the empty container is returned. CX764 (Takase Dep. at 93:12-22).

RPFF173. COSCO's billing system for detention charges is semi-automated and invoices are issued based on the date the container was removed from the terminal and the date the container was returned. CX764 (Takase Dep. at 93:12-22).

RPFF174. COSCO automatically extends detention free time for days when there is a gate closure at any marine terminal (i.e. a complete shutdown or zero appointments that day for the return of any empty containers). CX799 (Takase Dep. at 128:1-7).

RPFF175. If a terminal's gates are open and accepting appointments for the return of empty containers, unless a request for additional free time is received, COSCO has no way of knowing which importer (or trucker) can secure an appointment and which cannot. CX799 (Takase Dep. at 128:1-7).

RPFF176. COSCO also considers the terminal's gate to be closed when the terminal declares and reports to COSCO that it did not issue any (zero) appointments that day at all. CX799-800 (Takase Dep. at 128:16-129:2).

RPFF177. Except for terminal closures, unless COSCO is made aware of any difficulty returning an empty container, COSCO does not have any knowledge whatsoever of causes for a late return. CX765 (Takase Dep. at 94:6-18).

RPFF178. COSCO does not have any reason to charge detention fees other than to incentivize the movement of cargo. CX810 (Takase Dep. at 139:17-20).

D. ALLEGED CHARGES FOR “YARD STORAGE” AND “STORAGE”

RPFF179. “Yard Storage” is not used interchangeably with demurrage or detention. RX65 (Hackett Rpt. at 25).

RPFF180. “Yard Storage” charges account for 62.6% of McCown’s VCC demurrage and detention calculation, and removing it reduces the ‘Total Per TEU’ calculation from \$525 to \$197. RX67 (Hackett Rpt. at 27). Including “yard storage” inflates the demurrage and detention value that McCown uses in his analysis and thus does not support the assertion that the daily rate of COSCO’s demurrage or detention charges was unreasonable. RX67 (Hackett Rpt. at 27).

RPFF181. [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED] Respondent’s Exhibit 14 (Produced in Native Excel Format) (VCC00005).

RPFF182. When asked at deposition, Mr. O’Toole stated that it was “not [his] belief that ocean carriers control rail terminals.” CX433 (O’Toole Dep. at 84:5).

RPFF183. COSCO does not bill rail demurrage or rail storage; these charges are billed directly by the railroad and paid to the railroad. CX800 (Takase Dep. at 129:18-21).

RPFF184. COSCO did not charge RIM or VCC for storage at rail depots. CX800-801 (Takase Dep. at 129:12-130:11).

RPFF185. COSCO does not have any role whatsoever in managing rail availability. CX797 (Takase Dep. at 126:5-7).

E. FREE TIME

RPFF186. “All [NSA] contracts between VCC and RIM typically had [demurrage and detention]

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free time included in them” which was negotiated with RIM by Mr. O’Toole on behalf of VCC.
CX383 (O’Toole Dep. at 34:3-6).

RPFF187. [REDACTED]
[REDACTED] RX176-RX191 (VCC047847-VCC047849,
VCC000011-18).

RPFF188. [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED] CX383 (O’Toole
Dep. at 34:8-22); CX384 (O’Toole Dep. at 35:12-19); RX178 (VCC047849) (May 2020-April
2021 NSA).

RPFF189. [REDACTED]
[REDACTED]
CX383 (O’Toole Dep. at 34:13-22; 35:12-35:1); RX176-RX191 (VCC047847-VCC047849,
VCC000011-18).

RPFF190. [REDACTED]
[REDACTED] RX5,
(Complainant’s Supplemental Responses to Respondent’s First Set of Discovery Requests (May
31, 2024, Admission 7 at 4).

RPFF191. Neither VCC nor RIM requested that COSCO extend free time in 2021. CX391
(O’Toole Dep. at 42:10-17).

RPFF192. VCC did not request COSCO to extend free time in 2022. CX391 (O’Toole Dep.195
at 42:15-17).

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RPFF193. VCC did not know whether RIM [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED]
[REDACTED] CX391 (O'Toole Dep. at 42:18-20); RX166 (VCC047829).

RPFF194. Relief was available to VCC, upon request and corroboration, in any situation in which VCC was unable to pick-up or return containers due to circumstances outside VCCs control. CX694-CX695 (Takase Dep. at 23:1-22:1); CX810 (Takase Dep. at 139:1-9); CX767 (Takase Dep. at 96:4-17).

RPFF195. { [REDACTED] RX5, RX15
(Complainant's Supplemental Responses to Respondent's First Set of Discovery Requests (May 31, 2024) at Request for Admission at 8, Interrogatory at 23).

RPFF196. VCC knew or was "always made aware of" the last free day within the terminal or port as it related to the returning of empty containers and when detention charges for the extended use of a container may start to accrue. CX478-479 (O'Toole Dep. at 129:17-22; 130:1-9).

F. COSCO DEMURRAGE AND DETENTION RATES ARE LOW

RPFF197. Demurrage and detention rates generally in North America are significantly higher than in the rest of the world. RX74 (Hackett Rpt. at 34).

RPFF198. { [REDACTED]
[REDACTED]
[REDACTED] RX84
(Hackett Rpt. at 44).

RPFF199. { [REDACTED]
[REDACTED]
[REDACTED] RX84 (Hackett Rpt. at 44).

VII. THE ALLEGED SHIPMENTS

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A. VCC's WAREHOUSE OPERATIONS

- RPFF200.** During the Relevant Period, VCC leased and operated four warehouses in the United States, located in Burlington, NJ (508,000 sq. ft); Las Vegas, NV (207,000 sq. ft); Skokie, IL (300,000 sq. ft); and Houston, TX (400,000 sq. ft). CX23 -24 (Hirschel Dep.).
- RPFF201.** In 2021, all of VCC's "facilities were a challenge to manage and we had to implement alternative incentives to ensure that [it] could deliver to our customers..." CX53-54 (Hirschel Dep.).
- RPFF202.** VCC experienced delays in unloading its cargo in its warehouses in 2021 and 2022. CX79 (Hirschel Dep.).
- RPFF203.** VCC's Las Vegas warehouse employed approximately 25 individuals in 2021 and 2022. CX44 (Hirschel Dep.). This facility did not use a warehouse management system. CX55 (Hirschel Dep.).
- RPFF204.** VCC's Houston warehouse employed approximately 140 individuals in 2021 and 2022. CX45 (Hirschel Dep.). This facility did not use a warehouse management system. CX55 (Hirschel Dep.).
- RPFF205.** VCC does not own or operate trucks for the movement of containers. CX26 (Hirschel Dep. at 5-8).
- RPFF206.** VCC hired truckers (drayage providers) to move containers from terminals to its warehouses and distribution centers, and to move empty containers back to the terminals. CX408, 513 (O'Toole Dep. at 59:6-22; 164-12-21).
- RPFF207.** VCC tracked the containers it used with spreadsheets. CX74-CX75 (Hirschel Dep.)
- RPFF208.** Recognizing the need to improve its supply chain management, VCC implemented a

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new enterprise resource planning (“ERP”) system in 2023. CX52 (Hirschel Dep. at 12-18).

B. VCC’s OPERATIONS IN BURLINGTON, NJ AND FAIRLESS HILLS, PA

RPFF209. In late 2019, VCC hired a new director of distribution to manage the Burlington, NJ warehouse. CX57 (Hirschel Dep.)

RPFF210. VCC’s Burlington, NJ warehouse employed approximately 150 individuals in 2021 and 2022. CX45 (Hirschel Dep.).

RPFF211. In 2022, VCC obtained additional space and service in a third-party warehouse located in Fairless Hills, PA, close to its Burlington, NJ warehouse. CX81-CX83, CX87 (Hirschel Dep.); CX406 (O’Toole Dep. at 57:13-16).

RPFF212. Cargo was unloaded from containers at the third-party warehouse in Fairless Hills. CX 407 (O’Toole Dep. at 58: 12).

RPFF213. In 2021, VCC also used a short-term warehouse in Westhampton. CX416-417 (O’Toole Dep. at 67:20-68:16).

RPFF214. VCC used Sher-Del Transfer (a trucking company)(“Sher-Del”) to move loaded containers from the port to the Burlington, NJ warehouse during the Relevant Period. CX408 (O’Toole Dep. at 59:8-9).

RPFF215. VCC had used Sher-Del since 1989. CX413 (O’Toole Dep. at 64:9-12).

RPFF216. In 2023, VCC closed its Burlington, NJ warehouse and opened a larger facility in (Greer) South Carolina. CX 25 (Hirschel Dep.). The director of distribution of the Burlington, NJ warehouse left the employment of VCC in 2022. CX57-58 (Hirschel Dep.). VCC’s Vice President of distributions and operations also left the company in 2023. CX57 (Hirschel Dep.).

C. VCC AND RIM NSA

RPFF217. { [REDACTED]

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[REDACTED]

[REDACTED]

[REDACTED] CX379-385 (O'Toole Dep. at 30-36).; RX176-191 (VCC047847-VCC047849, VCC000011-18); CX380 (O'Toole Dep. at 31:4-6; 31:15-17).

RPFF218. The 2021 and 2022 NSA contracts between RIM and VCC did not include rates for storage of VCC cargo. CX382 (O'Toole Dep. at 33:11-14).

RPFF219. [REDACTED] RX142 (VCC 0000010).

RPFF220. [REDACTED]

[REDACTED] RX184.

RPFF221. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] RX186; *see also*, CX394 (O'Toole Dep. at 45:9-19).

RPFF222. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

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[REDACTED] RX186 (emphasis added); *see also*, CX395-396 (O'Toole Dep. at 46:1-14; 47:1-17).

RPFF223. RIM's relationship with the NVO appearing as shipper on the ocean bill of lading may have been governed by an agreement between RIM and the NVO shipper, but neither COSCO nor VCC are party to those agreements.

RPFF224. It is unclear on what basis RIM invoiced VCC for the any of the Charges alleged in the Complaint, whether under an NSA, under RIM's tariff rule, or under another agreement not disclosed to COSCO in this proceeding.

RPFF225. [REDACTED]
[REDACTED]
[REDACTED]

RX10 (Complainant's Supplemental Responses to Respondent's First Set of Discovery Requests (May 31, 2024) Interrogatory 11 at 9).

D. VCC and RIM BOOKING PRACTICE

RPFF226. VCC instructed RIM to move its oceanborne shipments through numerous ports in the United States, and two (2) in Canada, namely, (1) Los Angeles/Long Beach, (2) New York/New Jersey, (3) Houston (4) Prince Rupert, Canada (5) Vancouver, Canada (6) Savannah, (7) Seattle, and (8) Oakland. CX376 (O'Toole Dep. at 27:3-13).

RPFF227. VCC's "origin office" located in China was "responsible for booking all the freight to the [VCC] Las Vegas, Skokie, and [the] Burlington warehouse." CX438-439 (O'Toole Dep. at 89:22-90:9).

RPFF228. VCC's China office instructed RIM to book service with ocean carriers, specifying at which U.S. port VCC's cargo should arrive. CX419, 439-440 (O'Toole Dep. at 70:7-10;

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90:10-18; 91:4-7).

RPFF229. RIM chose the ocean common carrier (“steamship line”) on which VCC’s loaded containers would actually be loaded. CX437 (O’Toole Dep. at 88:2-5).

RPFF230. RIM contracted with other NVOCCs, who in turn booked on ocean carriers, such as COSCO. CX439-CX440 (O’Toole Dep. at 90:3-22, 91:1-7).

RPFF231. [REDACTED]
[REDACTED]
[REDACTED] RX23 (COSCO_001864).

RPFF232. RIM may not have merely “pass[ed] through” charges that were invoiced to it to VCC, but instead, may have charged VCC more than its costs. CX118-119 (O’Toole Dep at 118:1-8; 119:4-6).

RPFF233. VCC understood that an “ocean transportation intermediary” or “NVOCC” is an intermediary that would handle logistics for VCC’s imports. CX372 (O’Toole Dep. at 23:13-18).

E. RIM’S RESPONSIBILITY TO TIMELY PICK UP CARGO

i. COSCO’S Bills of Lading

RPFF234. [REDACTED]
RX176-RX191 (VCC047847-VCC047849, VCC000011-18).

RPFF235. The contracts of carriage between COSCO and RIM were bills of lading issued by COSCO. The publicly-available terms and conditions reflected the responsibilities of the shipper and the consignee. COSCO Bill of Lading Terms and Conditions at https://lines.coscoshipping.com/lines_resource/pdf/coscon_tidant_cn.pdf https://lines.coscoshipping.com/lines_resource/pdf/coscon_tidant_cn.pdf

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RPFF236. { [REDACTED] *E.g., RX23*

RPFF237. VCC knew that RIM was the consignee vis a vis COSCO. CX396 (O'Toole Dep. at 47:18-21).

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61:4-9.

RPFF243. The scheduling of deliveries of cargo from the terminal to VCC's warehouses was coordinated between VCC's distribution centers and VCC's drayage providers. CX410 (O'Toole Dep.) at 61:11-20.

RPFF244. Because it received regular reports from the NVOs who acted as shippers at origin, VCC was aware of loaded containers remaining at the terminal beyond free time at the terminal, and likely to be incurring demurrage charges, as well as empty containers that had not been returned timely, and thus likely to incur detention charges. CX478 (O'Toole Dep.) at 129:17-21.

F. NEITHER VCC NOR RIM HAD A SERVICE CONTRACT WITH COSCO

RPFF245. { [REDACTED]

[REDACTED]

RPFF246. VCC determined it was more beneficial financially for it to book containers through NVOs rather than having its China office book directly with ocean carriers, such as COSCO. CX439-CX440 (O'Toole Dep. at 90:20-91:3). VCC did not contract directly with COSCO for services.

RPFF247. VCC asserted that it does not contract directly with any ocean common carrier. CX372, 378-379, 450-451 (O'Toole Dep. at 23:9-12; 29:22-1; 30:1-2; 101:22; 102:1-2).

RPFF248. Although VCC may have *believed* RIM had a service contract with COSCO in which VCC was a "named account" (CX46 (Hirschel Dep. at 5-11)), this was not true.

RPFF249. { [REDACTED]

[REDACTED]

RX197-RX198 (Complainant's Supplemental Responses to

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Respondent's First Set of Discovery Requests (May 31, 2024) Interrogatory 2 and 3 at 5-6).

i. PAYMENTS/CHARGES

RPFF250. At deposition, neither Mr. O'Toole nor Mr. Hirschel could identify any shipments or cargo that VCC alleges was shipped by COSCO pursuant to the terms of a service contract either between VCC and COSCO or between RIM and COSCO. CX450 (O'Toole Dep. at 101:17-21); CX77 (Hirschel Dep. at 2-6).

RPFF251. { [REDACTED]
[REDACTED] RX206 (Complainant's Supplemental Responses to Respondent's Interrogatory 22 (September 9, 2024) at 14); CX548 (McCown Rpt.) at 23, FN26.

RPFF252. { [REDACTED]
[REDACTED] RX206 (Complainant's Supplemental Responses to Respondent's Interrogatory 22 (September 9, 2024) at 14); Respondent's Exhibit 14 (Produced in Native Excel Format) (VCC00005)

RPFF253. VCC's "expert" Mr. McCown used numerous spreadsheets for his Report (VCC00005, VCGPOR2021, and VCGPOR2022, and other, undisclosed) purporting to include charges invoiced to RIM. CX548 (McCown Rpt.) at FN26.

RPFF254. Mr. O'Toole testified that the untitled Column "O" in VCC000005 indicates the payee of each charge. CX517 (O'Toole Dep. at 168:7-16).

RPFF255. RIM appears on bills of lading as "consignee" and "notify party."

RPFF256. No invoices from the payees listed in VCC00005 have been produced by VCC.

RPFF257. VCC000005 does not indicate who the payor of each alleged invoice may have been,

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as Mr. O'Toole testified, "not necessarily Visual Comfort paid..." CX517 (O'Toole Dep. at 168:14-17).

RPFF258. No cancelled checks, credit card statements, or other proof of payment of any charges by either VCC or RIM are in the record.

RPFF259. [REDACTED]
[REDACTED] Respondent's Exhibit 14 (Produced in Native Excel Format) (VCC00005).

RPFF260. [REDACTED]
[REDACTED] Respondent's Exhibit 14 (Produced in Native Excel Format) (VCC00005).

RPFF261. [REDACTED]
[REDACTED] Respondent's Exhibit 14 (Produced in Native Excel Format) (VCC00005).

RPFF262. [REDACTED] CX387-388
(O'Toole Dep. at 38:16-22; 39:1-13); RX6 (Complainant's Supplemental Responses to Respondent's First Set of Discovery Requests, May 31, 2024, at 5).

RPFF263. [REDACTED]
[REDACTED] Respondent's Exhibit 14
(Produced in Native Excel Format) (VCC00005).

VIII. VCC'S REPARATIONS CLAIMS

RPFF264. When asked at deposition, VCC's Mr. Hirschel could not point to any of VCC's shipments moved by RIM via COSCO that had been restricted from timely pick up or return. CX77 (Hirschel Dep. at 2-6).

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- RPFF265.** When asked at deposition, Mr. Hirschel could not state how many shipments VCC alleges were in dispute. CX96 (Hirschel Dep.).
- RPFF266.** When asked at deposition, Mr. Hirschel testified that he had never before seen VCC00005 (Respondent's Exhibit 14 produced in Native Excel Format), purported by VCC to be the complete list of shipments at issue in this proceeding. CX 96-CX97 (Hirschel Dep.).
- RPFF267.** When asked at deposition, Mr. O'Toole testified that VCC00005 "came from RIM as part of their monthly reporting." CX427 (O'Toole Dep. at 78: 9-10).
- RPFF268.** When asked at deposition, Mr. O'Toole testified that VCC00005 was prepared by Tenzing Consulting. CX514-CX515 (O'Toole Dep. at 165:17 – 166:7).
- RPFF269.** When asked at deposition, Mr. O'Toole could not specify how many invoices were in dispute. CX 427 (O'Toole Dep. at 78:11-13).
- RPFF270.** Mr. O'Toole testified that VCC received credits on invoices it paid to RIM. CX455 (O'Toole Dep. at 106: 4-20).
- RPFF271.** VCC's Mr. Hirschel stated that he did not provide any documents to VCC's Expert Witness, John McCown. CX96 (Hirschel Dep. at 9-10).
- RPFF272.** { [REDACTED] }
Respondent's Exhibit 14 (produced in Native Excel Format) (VCC000005).
- RPFF273.** VCC's assertion of reparations is unsupported by the McCown Report. Table 7 of the McCown Report (Fourth Edition dated October 17, 2024) does not accurately summarize the underlying data Mr. McCown said he used. McCown asserted the two internal files he used showed a total of 1,844 forty-foot containers moved by VCC from Asia to the U.S. with COSCO in 2021 and 2022. But the two data files purport to contain records of invoices, with only one

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container listed in each invoice. RX78-RX80 (Hackett Rpt. at 38-40).

RPFF274. Mr. McCown's count of containers includes hundreds of containers moved by ocean carriers *other than COSCO* and double counts dozens of containers. RX82 (Hackett Rpt. at 42).

RPFF275. The McCown Report miscalculates VCC's costs. RX82 (Hackett Rpt. at 42).

RPFF276. The data file Mr. McCown said he used for 2021 includes 961 data entries. RX82 (Hackett Rpt. at 42).

RPFF277. The 2021 data file used by the McCown Report appears to include data for all ocean carriers used by VCC, not just COSCO. RX79 (Hackett Rpt. at 39).

RPFF278. All 961 of the line items in the 2021 data file purported to reflect charges relating to cargo destined for VCC's Las Vegas warehouses, as were 963 of the 995 invoices in 2022, with the remaining 32 destined for Houston. There was no indication in either of the two data sets used by the McCown Report reflected any cargo moved through Maher Terminal in the Port of New York/New Jersey, despite the fact that McCown Report purports to rely on the information from those data sets to show import activity at that location. RX80 (Hackett Rpt. at 40).

RPFF279. The 2022 data Mr. McCown said he used to produce his expert analysis does not contain the 983 COSCO shipments that Mr. McCown described. Rather, of the 995 lines purporting to represent invoices in the datafile, just 216 are attributed to COSCO; the remainder (719) are attributed to ocean carriers other than COSCO. RX82 (Hackett Rpt. at 42).

RPFF280. The Fourth Edition of the McCown Reports represents that a further 100 shipments (those arriving in Canadian ports) were removed from the analysis, but these were removed from a different dataset than the two cited by McCown. RX79 (Hackett Rpt. at 39).

RPFF281. VCC has an assignment of claims only from RIM. CX1238-CX1241.

RPFF282. Mr. O'Toole testified that it was FedEx, not RIM, who handled containers for VCC

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arriving at Houston. CX373 (O'Toole Dep. at 24:19-20); CX446; O'Toole Dep. at 97:7-11).

RPFF283. Charges related to Houston are included in the McCown 2021 data file. RX80 (Hackett Rpt. at 40).

RPFF284. Even if the 961 records from the 2021 data file and the 216 COSCO records from 2022 data file are used, this would bring total to 1,177 forty-foot equivalent containers. This would still overstate the number of containers upon which Mr. McCown bases his analysis, as those data files reflect numerous instances of a single container having multiple records. RX80 (Hackett Rpt.) at 40.

RPFF285. For 2021, there are only 896 unique booking number/container pairs. And In 2022 only 178 unique order number/container pairs. RX80 (Hackett Rpt.) at 40.

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DATED: December 6, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on the 6th day of December 2024, a true and correct copies of the foregoing **Respondent's Proposed Findings of Fact** was served by electronic mail on all counsel of record in accordance with 46 C.F.R. Part 502 and the Commission's Order of May 12, 2020 as follows:

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